

Global Strategy: Class #2

The Institutional Environment in Global Markets

Corruption in International Business

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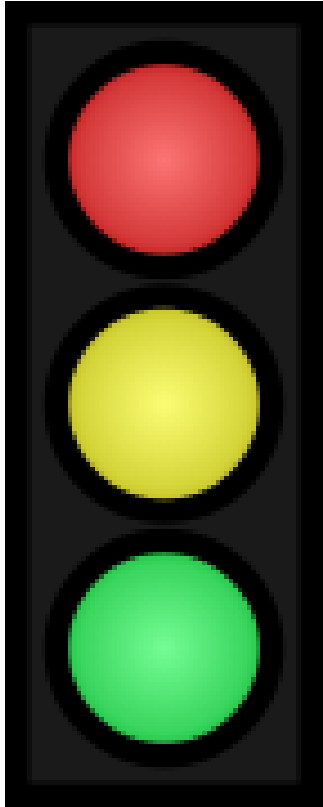
Last Class

- Should we go abroad? **ADDING Value Framework**
 - How much value is added: Volume, Margin (WTS, Cost, WTP, Industry attractiveness), Uncertainty/Risk, and Knowledge/Resources
- Where should we go? **CAGE Framework**
 - Differences (not levels) that are relevant to the industry in analysis
 - Not “bad” or “good” markets; rather “close” or “far”
- Fundamental aspect of global strategy is learning how to manage differences in order to build long-term sustainable advantage

TODAY

- What are some of the uncertainties/risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
 - *Navigating institutional differences and dealing with corruption*

What We Are Trying to Solve in the Global Module

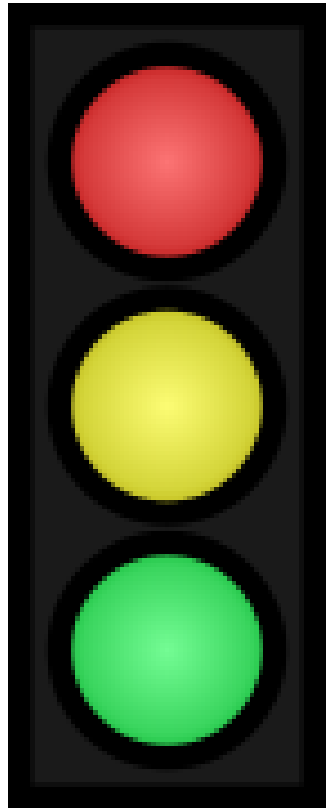


Should we go abroad?

Where should we go?

How should we go?

What We Are Trying to Solve in the Global Module



Should we go abroad?

- **ADDING Value**
- **CIA:** Comparative Institutional Analysis

- Ferrero Group
- Corruption in International Business

Where should we go?

- **CAGE:** Culture, Administrative, Geographic, and Economic
- **AAA:** Adaptation, Aggregation, and Arbitrage

- European Super League
- Apple
- Zara

How should we go?

- **TCE:** Transaction Cost Economics
- **SM:** Stakeholders Management

- Walmart
- McDonald's
- Tata Group
- Natura

Why do nations fail?

Conventional Explanations



Why do nations fail?

Conventional Explanations

- Culture
- Geography
- Leader Enlightenment





Source: Wikimedia Commons
https://commons.wikimedia.org/wiki/File:Korean_Peninsula_at_night_from_space.jpg

**Nogales Sonora
Mexico**

**Nogales Arizona
United States**

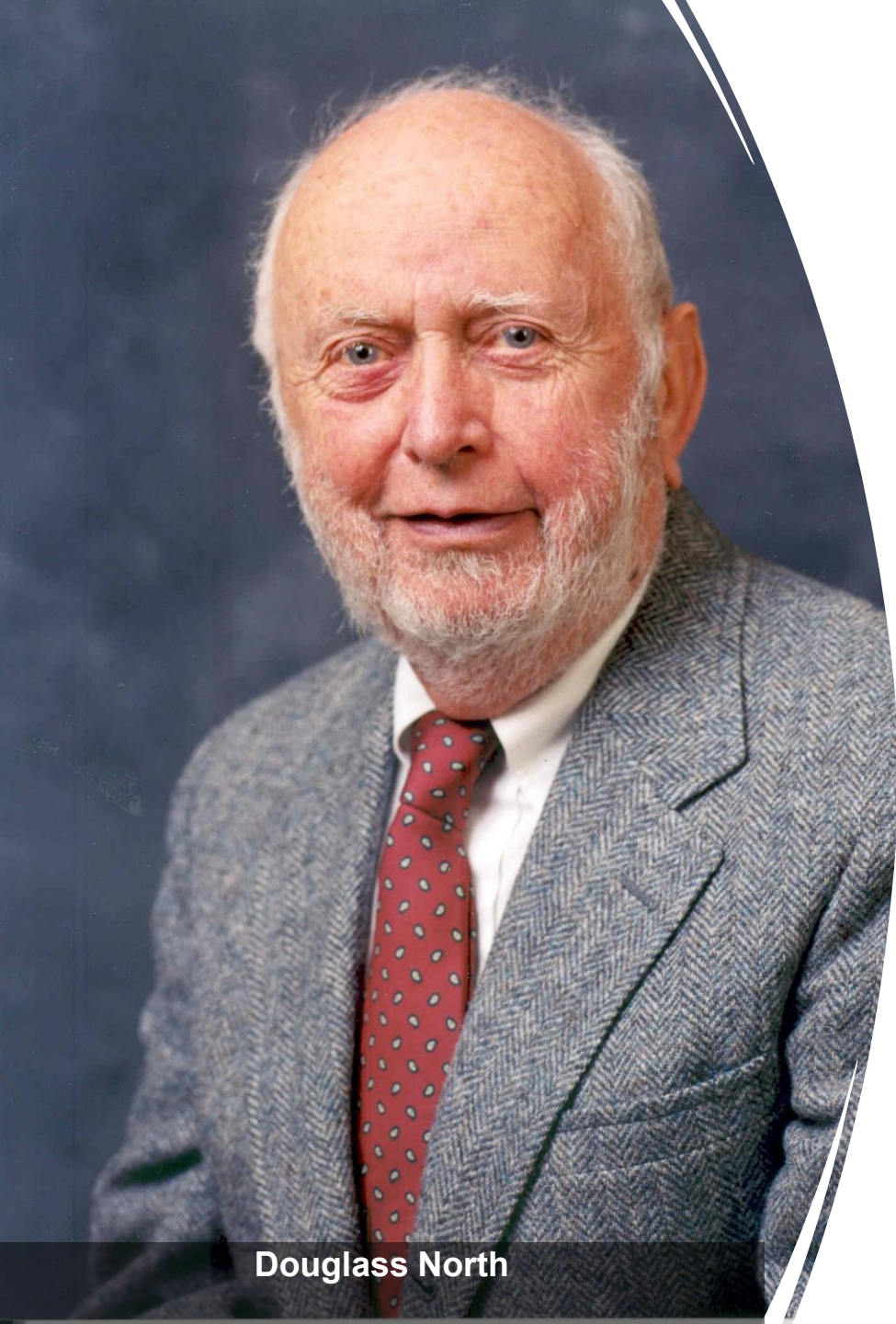
**GDP per capita (2010)
U\$ 14,810**

**GDP per capita (2010)
U\$ 25,174**

**What are institutions?
How do they affect economic
performance?
How are they created?**

North (1991). "Institutions."
Journal of Economic Perspectives.
5(1): 97-112





Douglass North

The “Rules of the Game”

*“Institutions are the **humanly devised constraints** that structure political, economic, and social interaction.”*

*“They consist of **both informal constraints** (sanctions, taboos, customs, traditions, and codes of conduct) **and formal rules** (constitutions, laws, property rights)”*

(North, 1991: 97-98)

Strong Institutions

+

Economic
Performance

Strong Institutions

+

Economic
Performance

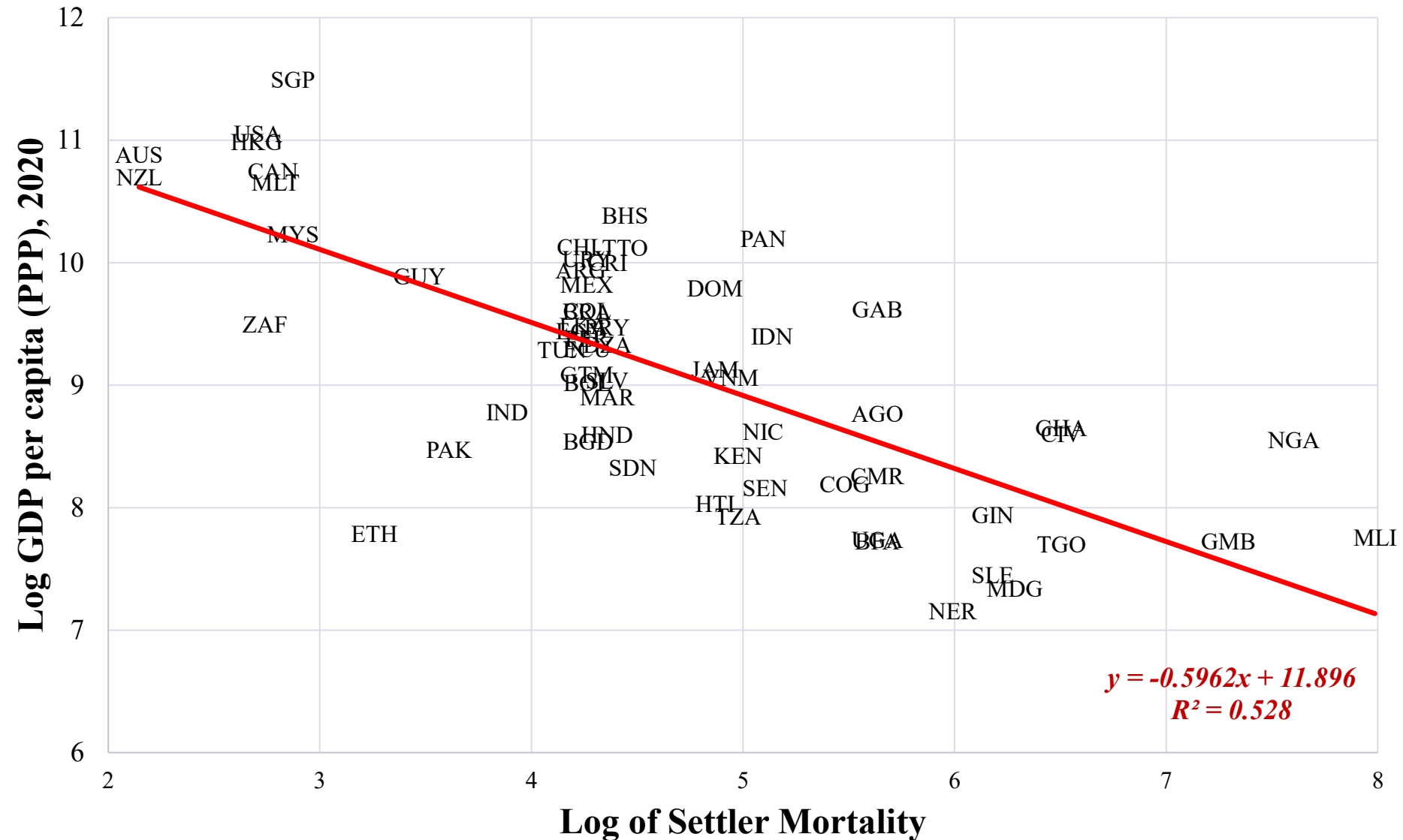
How about reverse causality?

Strong Institutions

+

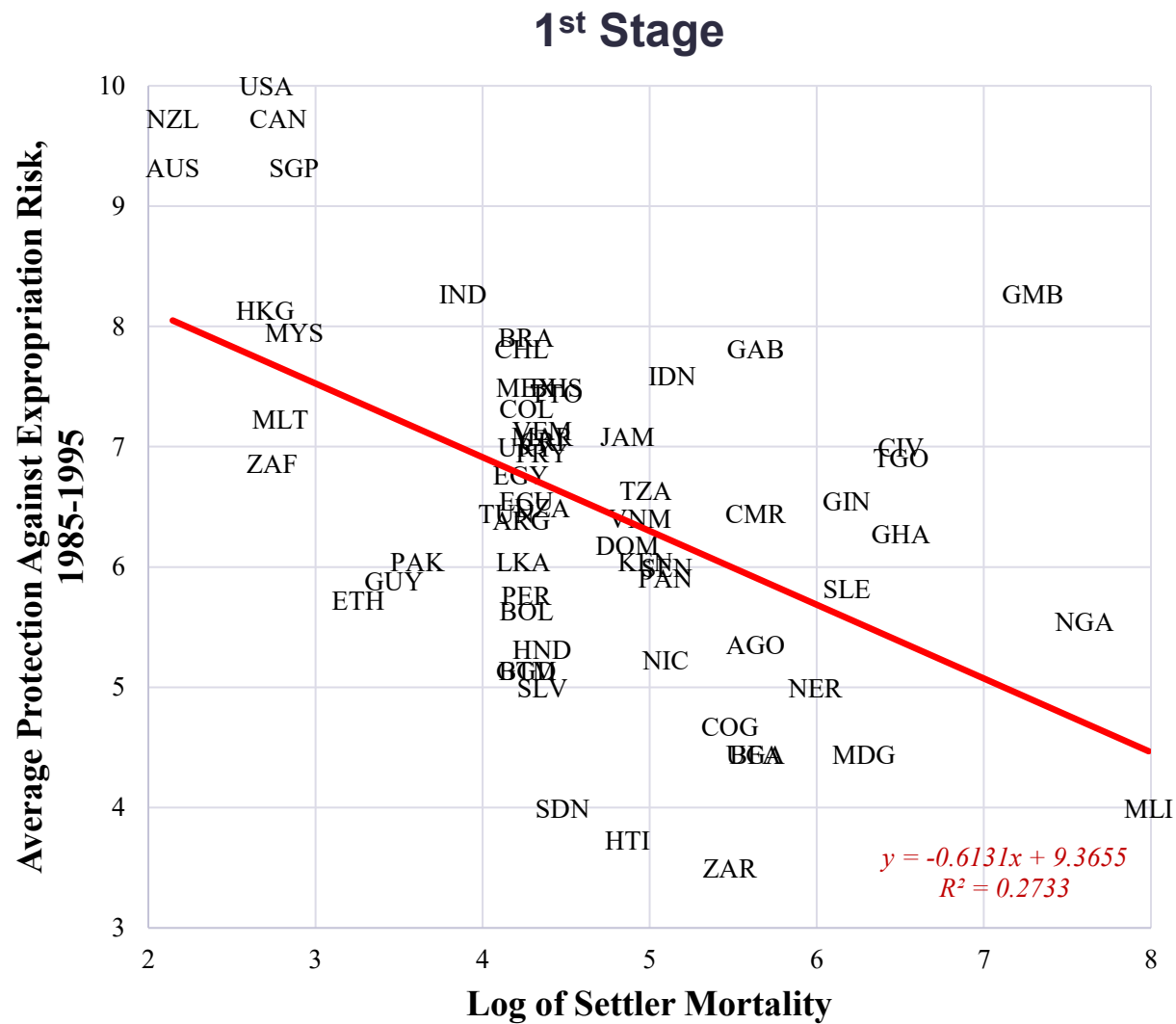
Economic
Performance

What is going on here? Why?



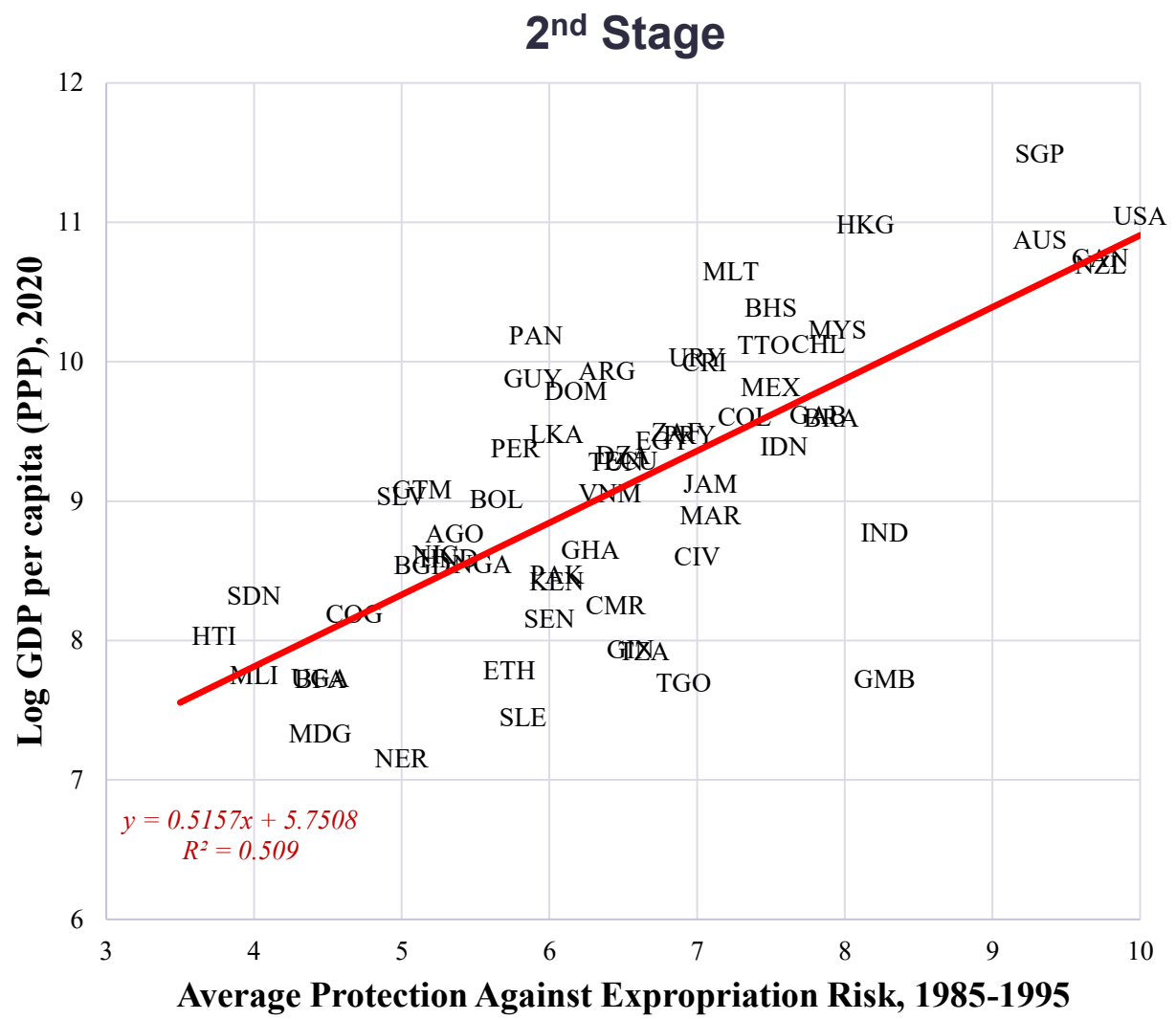
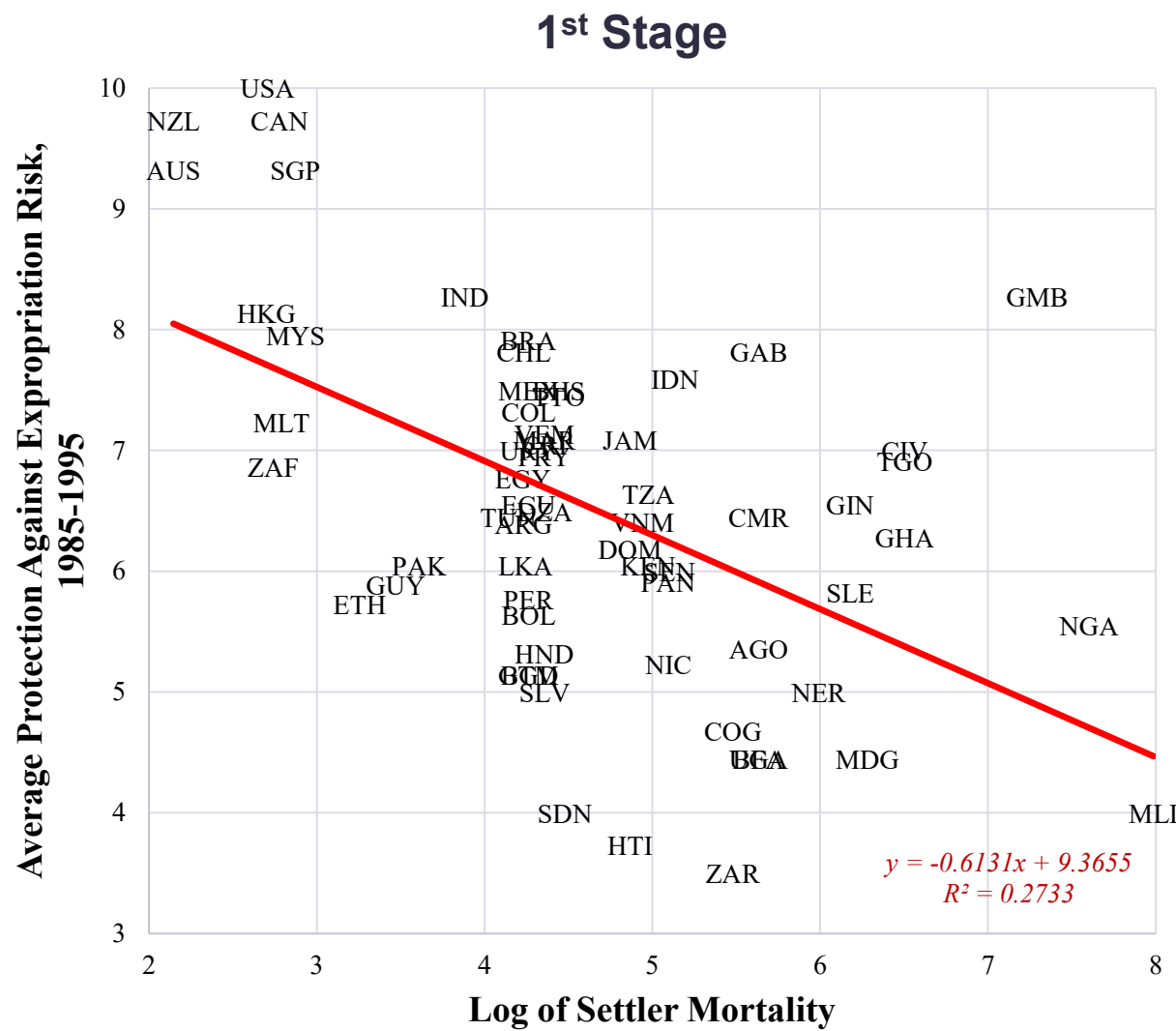
Source: based on Acemoglu et al. (2001)

What is going on here? Why?



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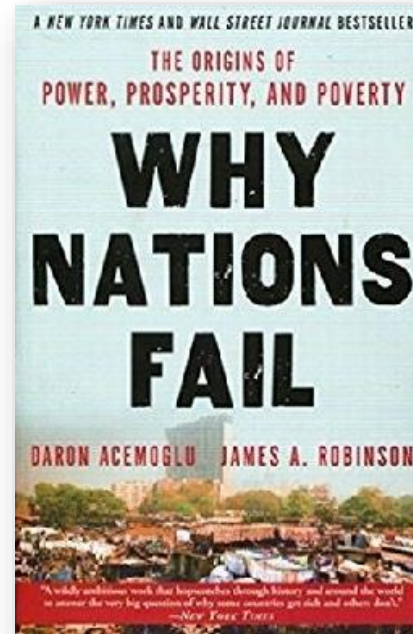
Why Nations Fail

Extractive Institutions

- Concentrated political and economic powers
- Reinforce the enrichment of powerful local elites

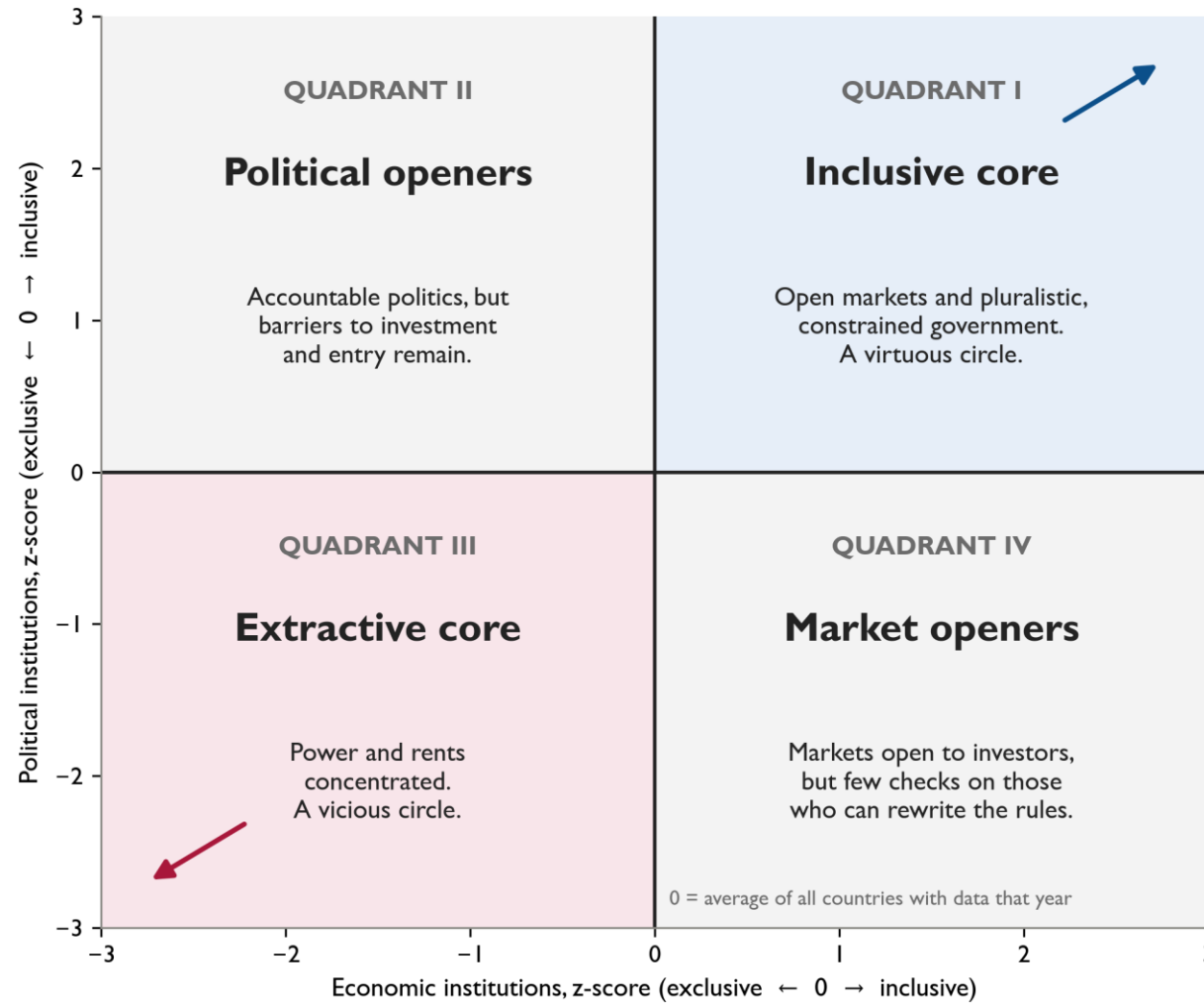
Inclusive Institutions

- Political and economic systems that are pluralistic and benefit the whole community
- Government integrity
- Protects individual rights and property rights
- Create conditions to reward entrepreneurship and innovation,
- Foster competitive markets.



Source: Acemoglu and Robinson (2012)

The CIA Map: Four Institutional Environments

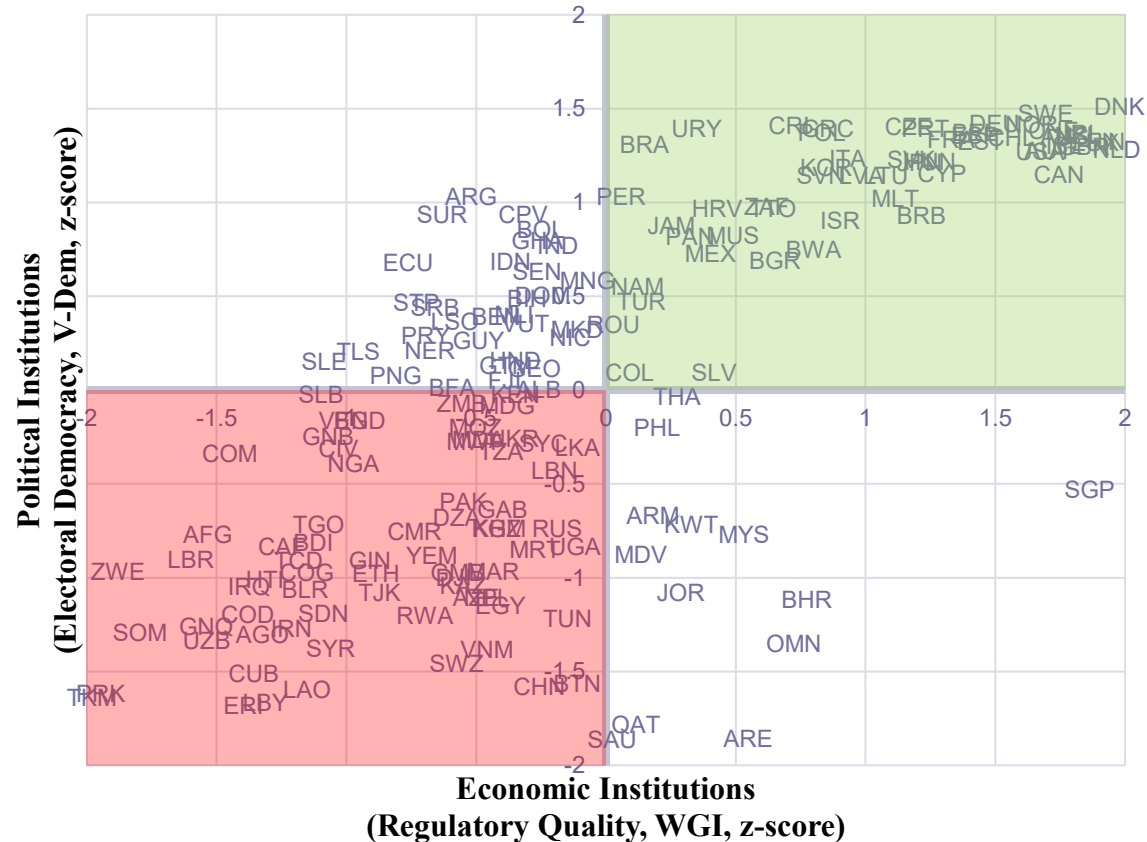


Source: Pongeluppe (2026), CIA Framework, building on the inclusive and extractive institutions of Acemoglu and Robinson (2012) and on Dahl (2008). Positions are z-scores: 0 is the average country that year.

Comparative Institutional Analysis (CIA) Framework

2005

More Inclusive

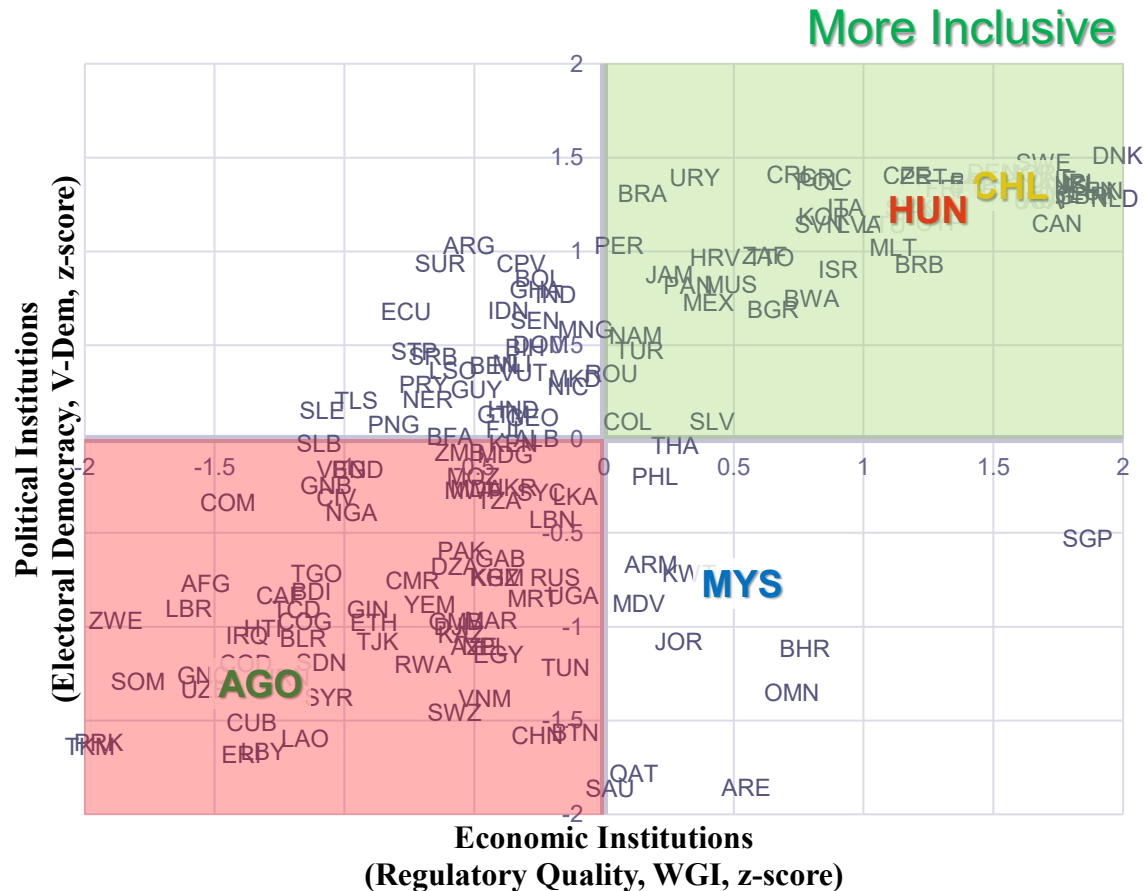


More Extractive

Source: World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026), CIA Framework.

Comparative Institutional Analysis (CIA) Framework

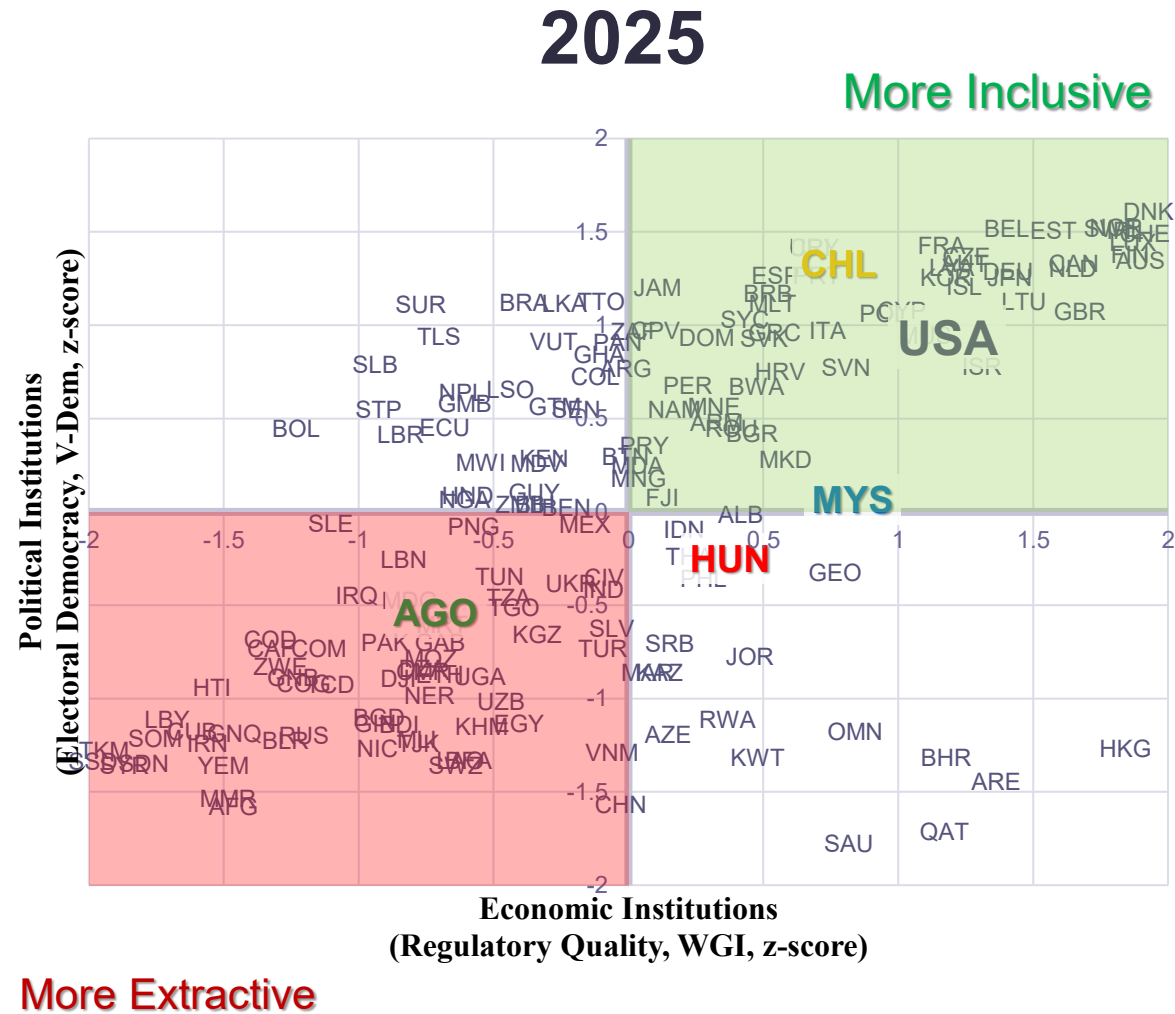
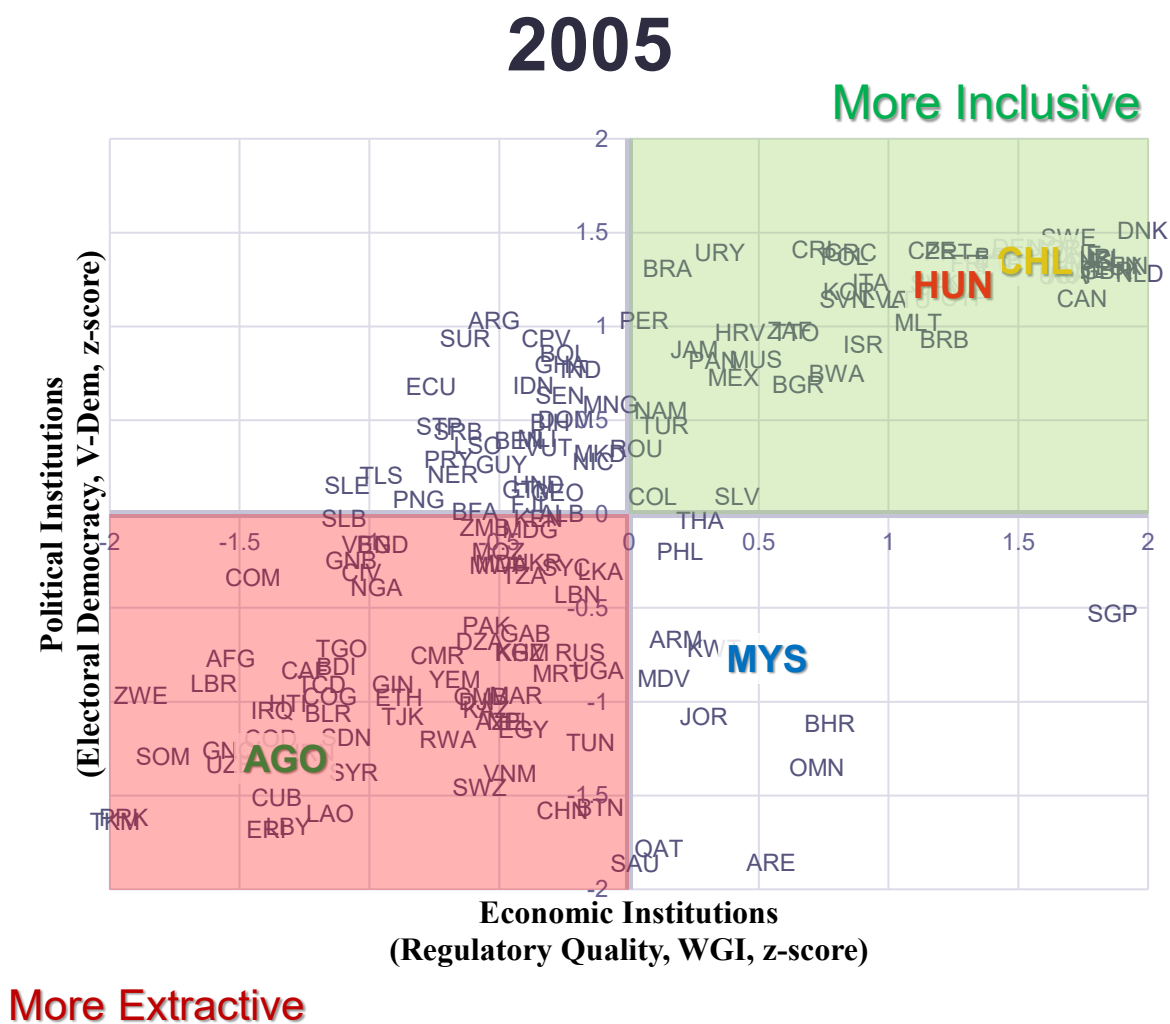
2005



More Extractive

Source: World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026), CIA Framework.

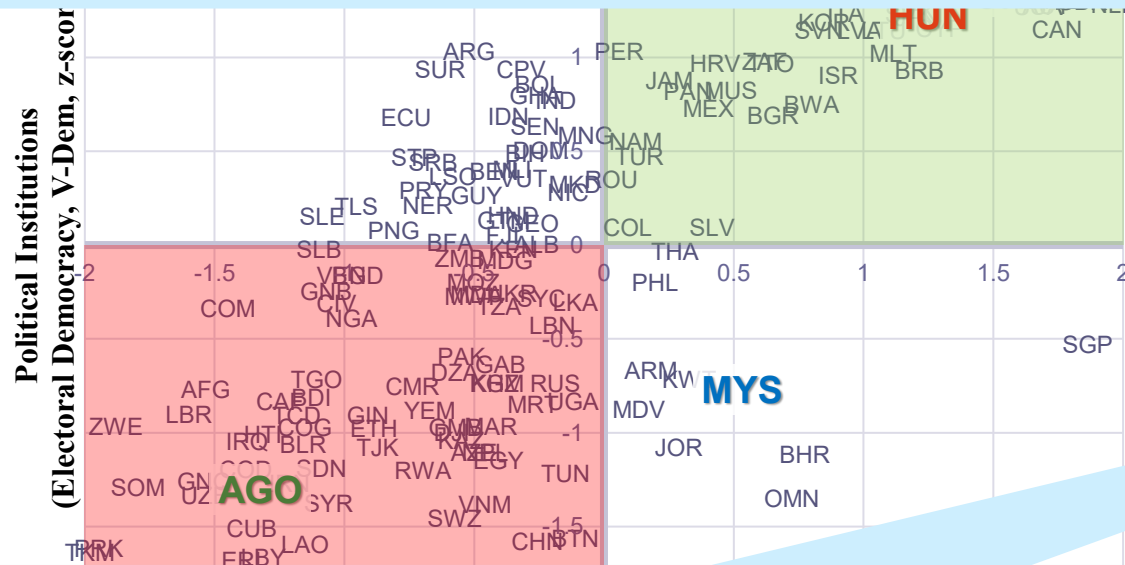
Comparative Institutional Analysis (CIA) Framework



Source: World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026), CIA Framework.

A new era for Malaysia after voters end six-decade reign of ruling party

"This is the first time the country has witnessed a change of government since independence from the British in 1957." – Global Voices, May 12th, 2018

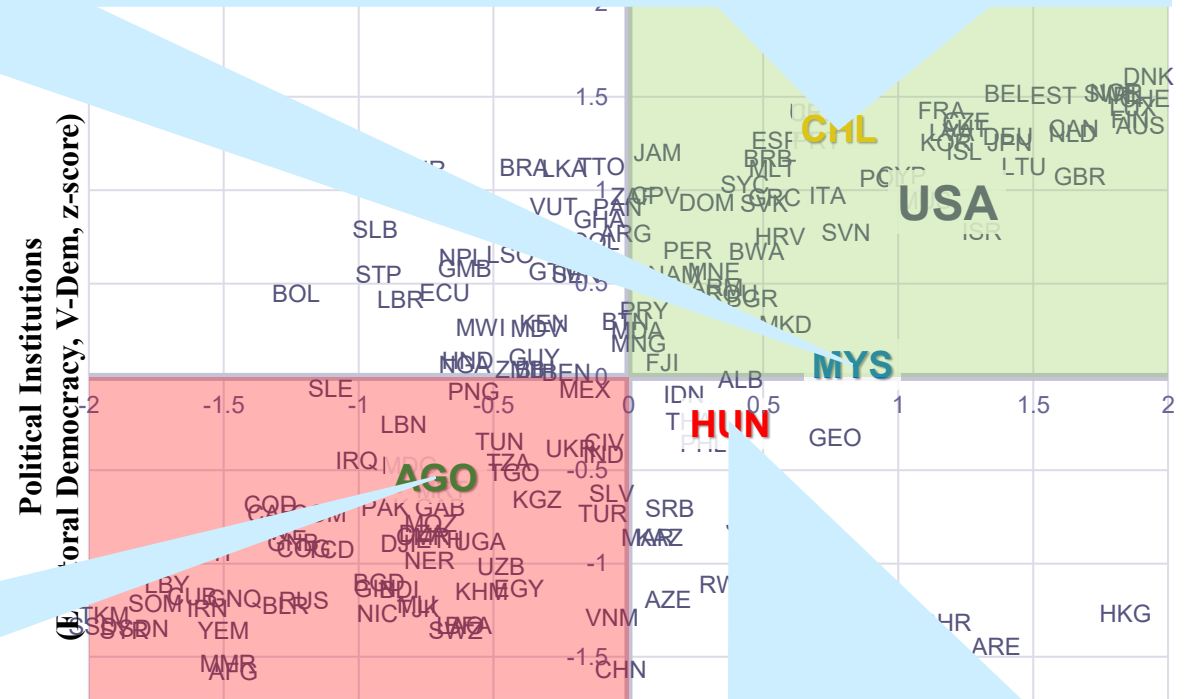


Angola: Growing Beyond Oil

"Now, with a relatively new government and a reform mission underway, the country has a vision to transform its economy by attracting private investment (...). If it does it right, Angola has the potential to be an investment and trading hub." – IFC (World Bank Group), Jan 14th, 2020

Chile speeds up permitting for mining and other investment projects

"The law was a key demand from the country's mining industry as well as renewable energy companies and others who said the lengthy permitting process was holding back investment." – Reuters, via Kitco, Jul 8th, 2025



Hungary loses right to EU aid worth more than €1 billion

"Hungary has lost its entitlement to significant EU aid due to rule of law breaches, as reforms were due by the end of 2025. (...) including changing laws to prevent conflicts of interest and combat corruption." – dpa, via European Newsroom, Jan 2nd, 2026

Comparative Institutional Analysis (CIA) Framework

Cross-country comparison

- Relative position of countries in institutional dimensions.

Intertemporal comparison

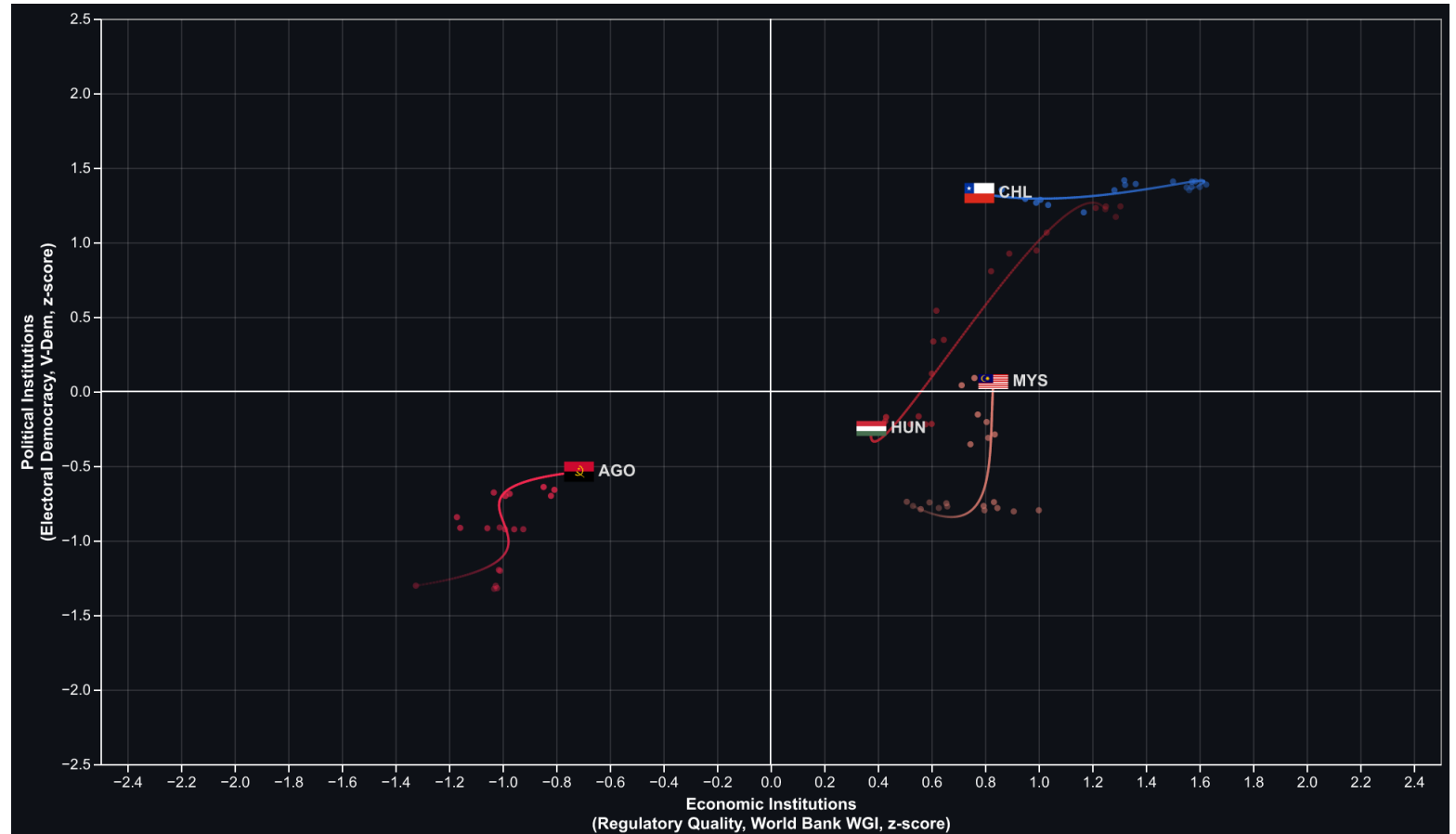
- Country movements in the chart.

Triangulate Results with Qualitative Evidence

CIA Framework

[Webpage Link](#)

[Framework Note \(2026\)](#)



CIA Portal: Main Map

Where countries stand

- Each line traces one country from 2005 to 2025, in its flag colors
- The flag marks 2025; 0 is the world average

Try it

- Pick a batch (G7, BRICS, EU, regions) or single countries

CIA Framework

[Webpage Link](#)

[Framework Note \(2026\)](#)



Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

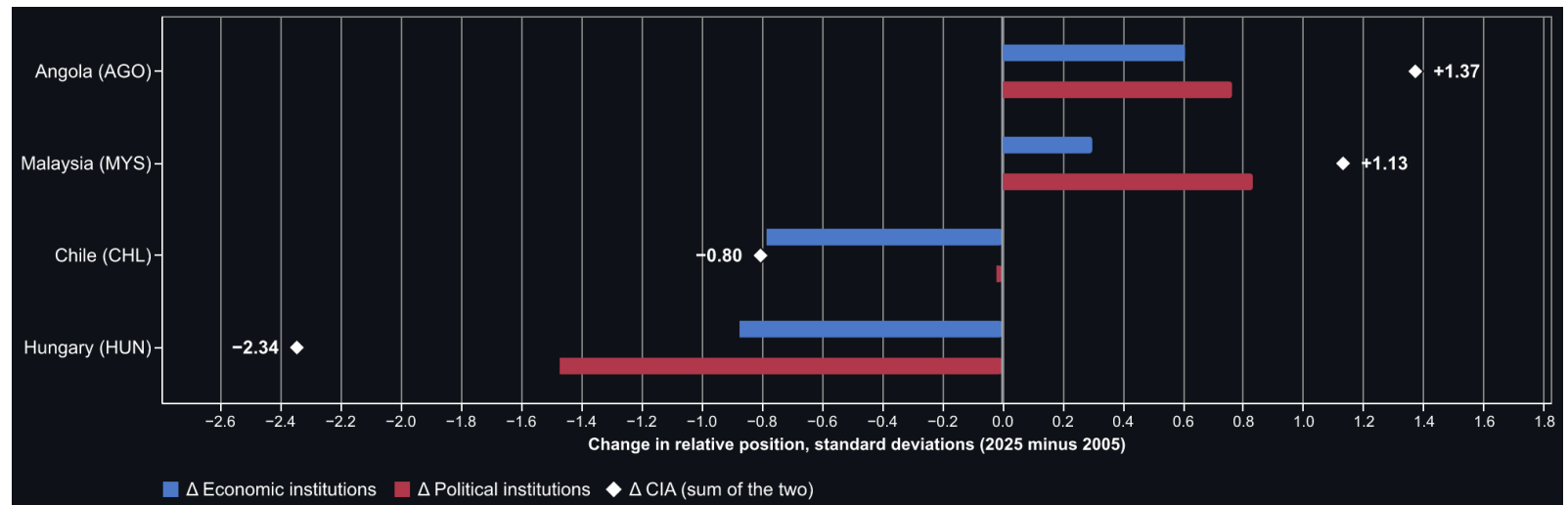
CIA Portal: Score

Decompose the change

- Blue: change in economic institutions
- Red: change in political institutions
- Diamond: change in the CIA score, the sum

Ask

- Did the move come from markets or from politics?



CIA Framework

Webpage Link

Framework Note (2026)

Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

CIA Portal: Trends

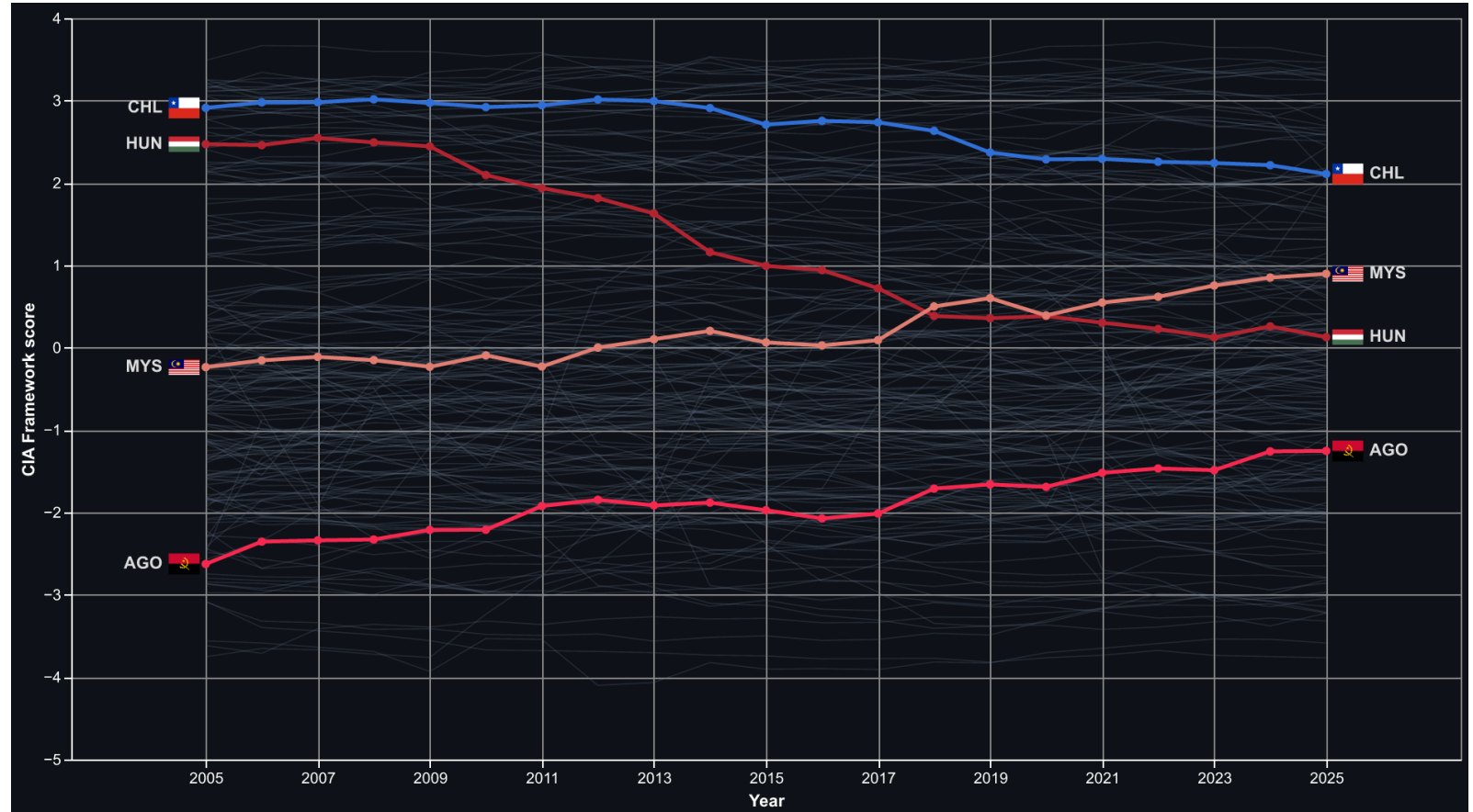
The CIA score over time

- Selected countries in color, all others in grey
- Shows when a change happened

Ask

- Gradual drift or sudden break? What happened that year?

CIA Framework
[Webpage Link](#)
[Framework Note \(2026\)](#)



Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

CIA Portal: World Map

Change for every country

- Blue: higher relative position in 2025 than in 2005
- Red: lower relative position
- Selected countries are outlined

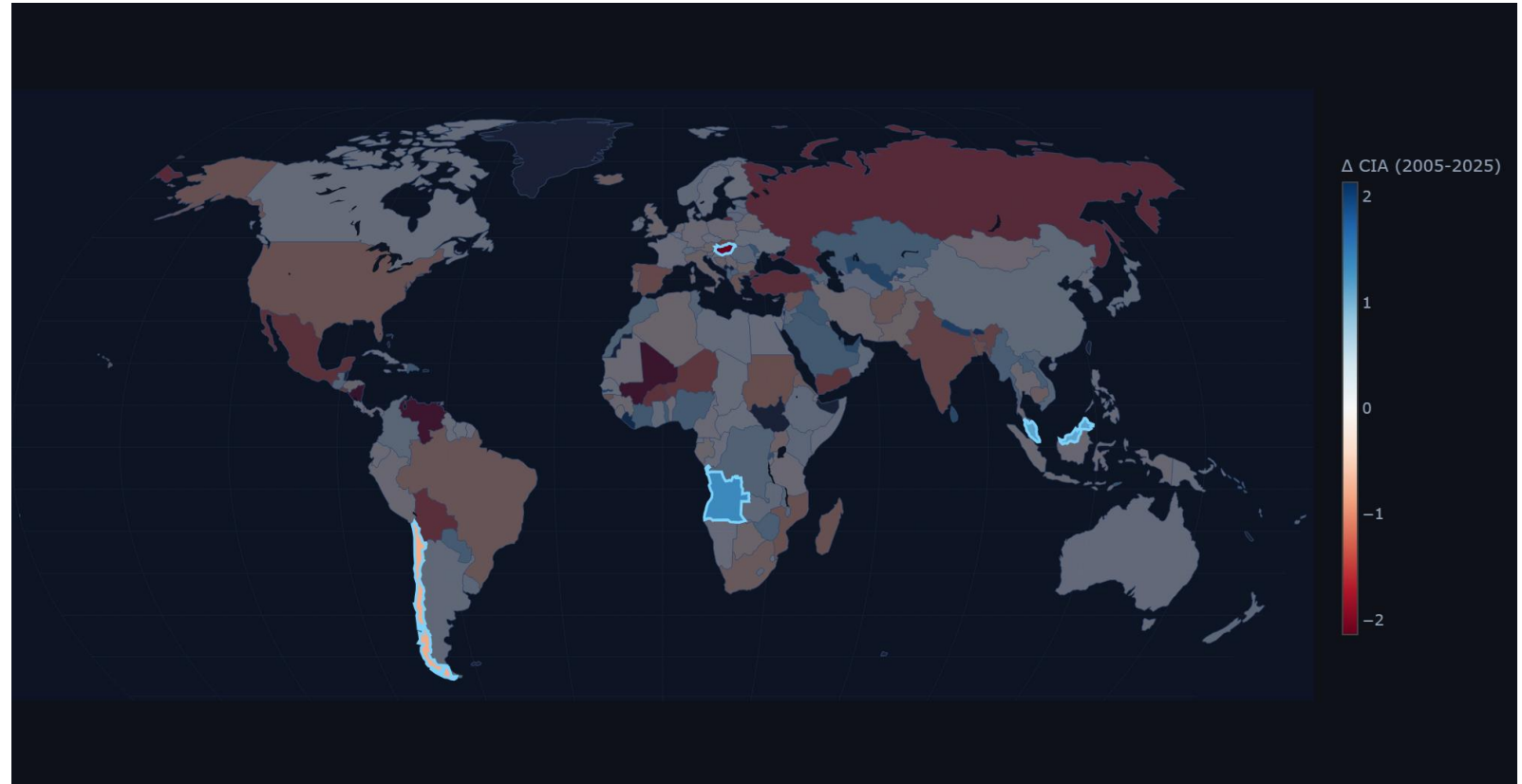
Ask

- Is the change regional or country-specific?

CIA Framework

[Webpage Link](#)

[Framework Note \(2026\)](#)



Source: CIA Framework portal (ciaframework.streamlit.app), 2005 to 2025; World Bank WGI (Kaufmann & Kraay, 2024); V-Dem (Coppedge et al., 2026); Pongeluppe (2026).

Where Is It Easier to Make Money? Under Stronger or Weaker Institutions?

David Neeleman (founder, Jet Blue and Azul), on Brazil...

(Interview to the newspaper *Folha de São Paulo*, Feb 14th, 2011)

JetBlue's call center is highly regarded. Why hasn't it worked well in Brazil?

- NEELEMAN: ... *This is due to **lack of competition**... **Everything is more expensive in Brazil.** Cell phones, internet, phone lines... I am impressed. **People have lower salaries here, but pay higher prices for almost everything.***

Where is it easier to make money, here or in the US?

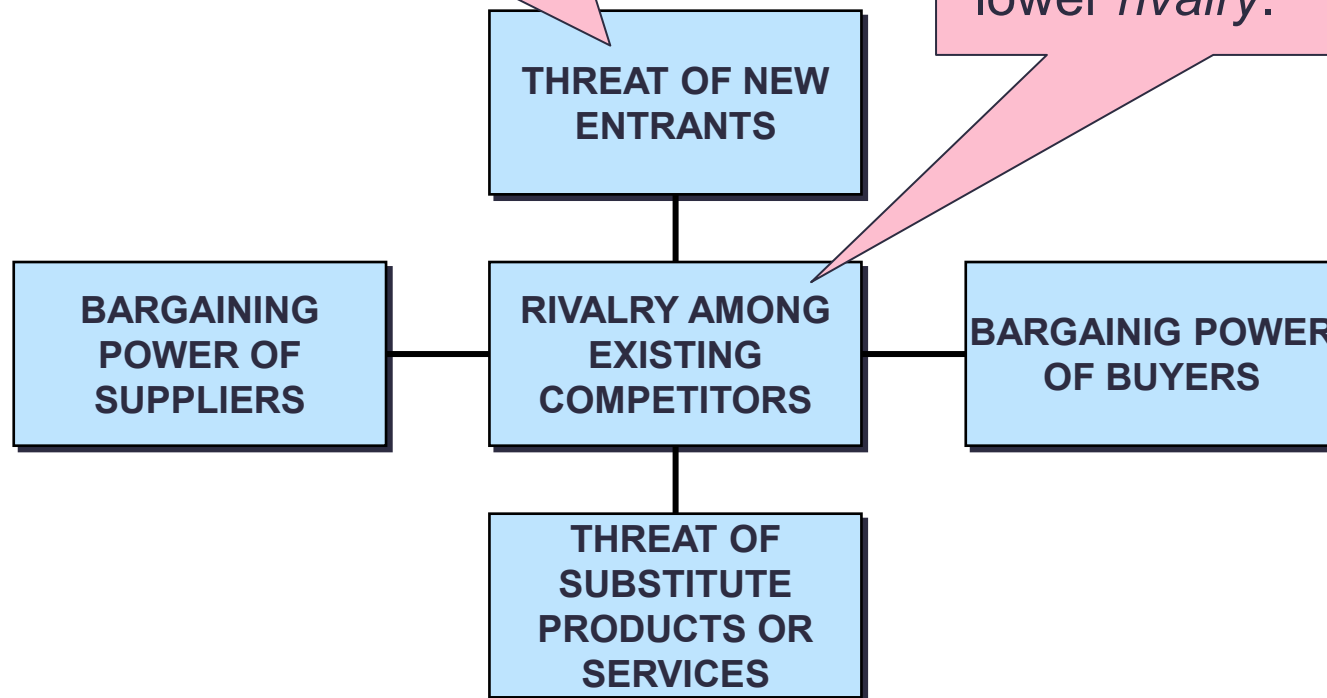
- NEELEMAN: ***Here [in Brazil]. We already have 10% of the market. JetBlue has 4% in the US, after 10 years.***



Recall The *Five Forces Model*

Weak institutions create “voids” and increase transaction costs. But those difficulties also make *entry* more difficult!

... which also tends to lower *rivalry*.

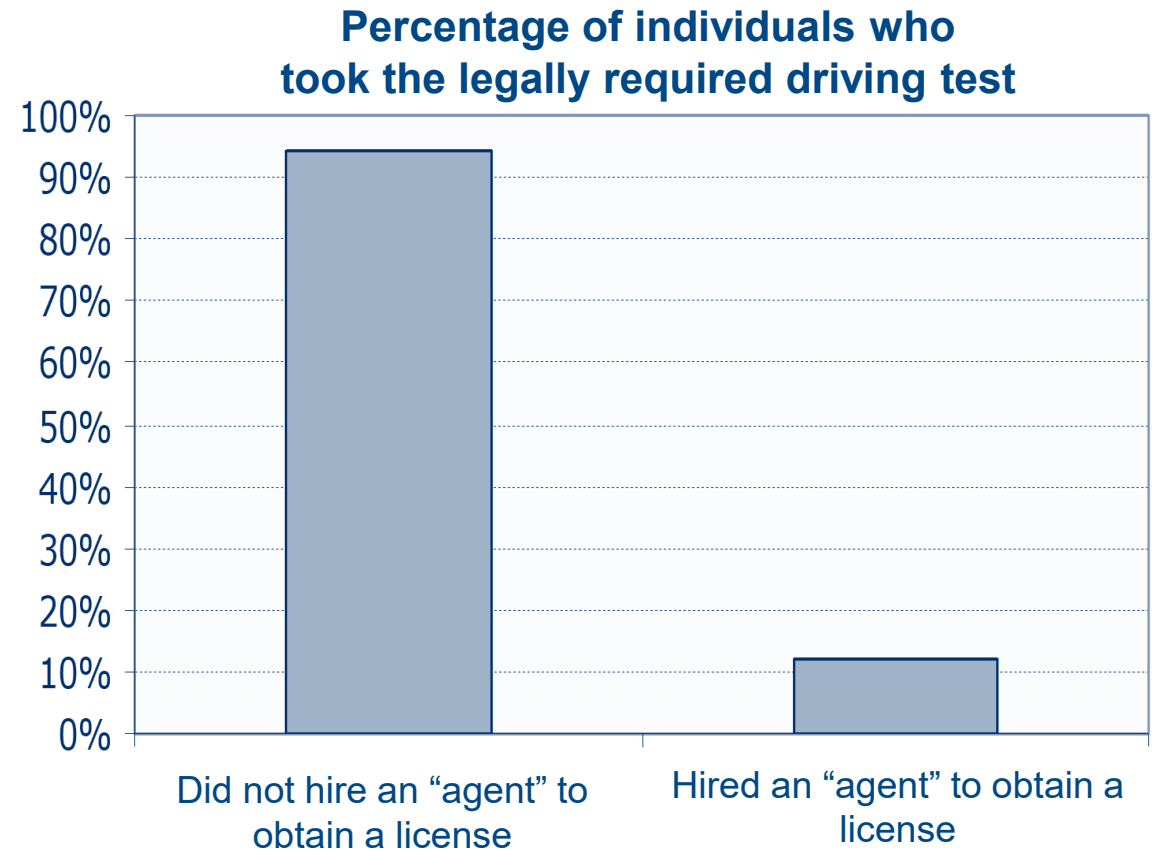


Negative Externalities from Corruption – Riskier Roads

Some propose it allows firms to get things done (i.e., “oil in the wheels of commerce”).

On the other hand:

- Unfair competition
- Entry barriers for those who lack sufficient resources to pay bribes.
- Bribes also act as some form of “tax.”
- Market distortions and deadweight loss.
- Bad decisions from a societal point of view (“negative externalities”).



Obtaining a driver’s license in India:

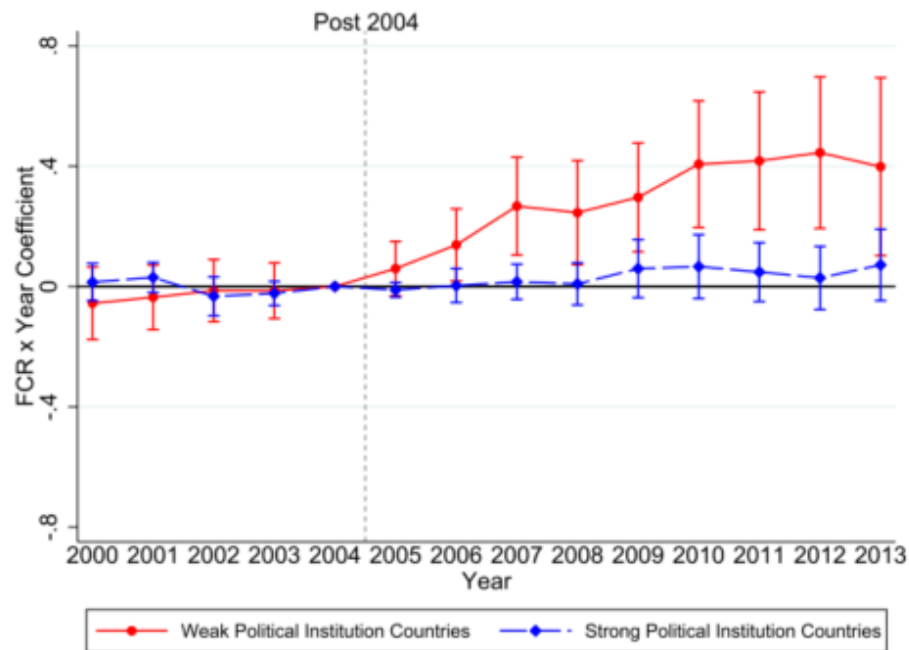
Source: Bertrand, Sjankov, Hanna and Mullainathan (QJE, 2007, p. 1662).

Note that percentages were based on surveys with two different populations, that is why the percentages are not adding up to 100. For more information, please, check Table V, row “Took RTO licensing exam” on page 1662.

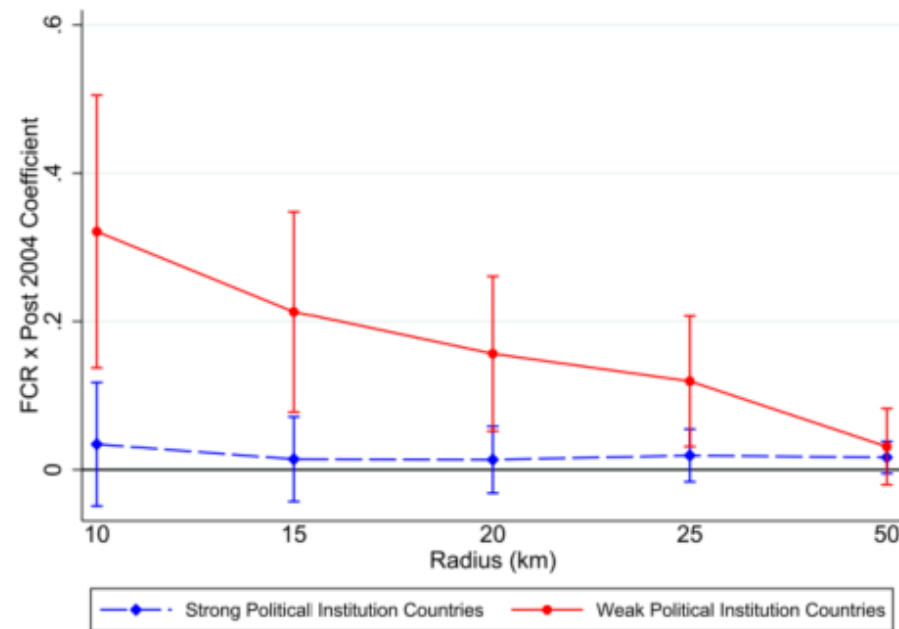
Regulation Against Corruption Foster Local Development

- Foreign corruption regulation against MNCs, US Foreign Corrupt Practices Act (FCPA) increased enforcement since 2004 → helped African communities to foster economic development (measured by luminosity) nearby extraction sites.
- A larger share of the resource rents are captured locally rather than being siphoned off through bribery.

Panel A: Luminosity Effect only in Countries with Weak Political Institutions



Panel B: Spatial Diffusion only in Countries with Weak Political Institutions



Source:
Christensen,
Maffett, and
Rauter (2022).
Also available
at [link](#).

The Economic Effects of Mafia: Firm-Level Evidence

Research Question: What happens to legitimate firms when criminal organizations infiltrate them?

Method: Matched investigative records documenting Mafia activity with firm-level panel data (governance + balance sheets). Focused on firms in regions without established Mafia presence (allows causal identification).

Key Findings:

- **Who is targeted?** Young and less efficient firms. Easier to infiltrate and exploit.
- **Short-run effect:** Significant rise in firm revenues with no proportionate growth in production inputs (labor, capital).
- **Long-run effect:** Deterioration of financial health leading to market exit (firm death).

Revenue growth without input growth = money laundering or rent extraction, not genuine business improvement!

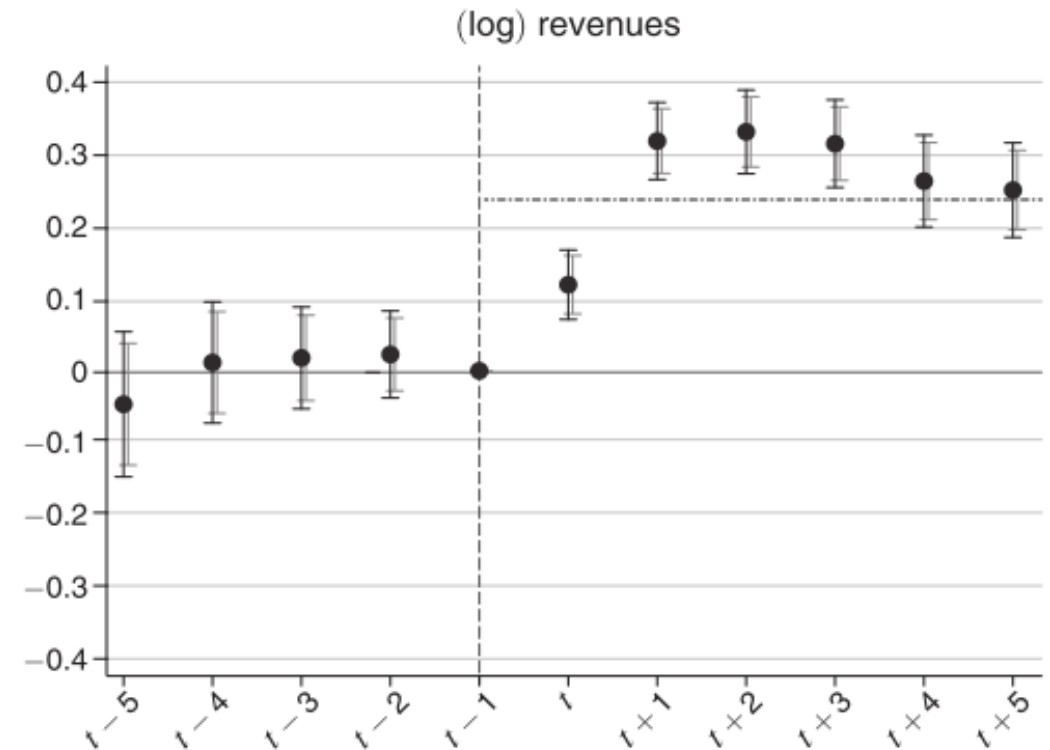


FIGURE 3. EFFECTS OF MAFIA INFILTRATION ON FIRM'S PERFORMANCE

Source: Mirenda, Mocetti, and Rizzica (2022). American Economic Review, page 2760. Also available at [link](#).

Figure note: Each dot is the point estimate of the treatment effect in different years before and after the treatment (leads and lags); vertical bands are the corresponding 90 percent and 95 percent confidence intervals. The reference category is $t - 1$. The specification includes firm, province-year, and sector-year fixed effects. The horizontal dashed line represents the corresponding DID estimate.



Firms may get “advantages” via corruption, for example:

- Campaign donations to win public contracts
- Obtaining a local operation license
- Extortion from a street bureaucrat to avoid a fine
- Embezzlement

Freakonomics Radio. Episode 481: “Is the U.S. Really Less Corrupt than China—and How About Russia?” [From 15’20” to 16’51”](#)

CORRUPTION COMES IN DIFFERENT TYPES WITH DIFFERENT HARM

	NON-ELITES	ELITES
INVOLVES THEFT	Petty theft = toxic drugs 	Grand theft = toxic drugs 
INVOLVES EXCHANGES	Speed money = painkiller 	Access money = steroids 

Source: Yuen Yuen Ang webpage.

Corruption Is Everywhere, But Not All Corruptive Forms Are Equal

Elites vs. Non-elites

Theft vs. Exchange

Firms may get “advantages” via corruption, for example:

- Campaign donations to win public contracts → Access money
- Obtaining a local operation license → Speed money
- Extortion from a street bureaucrat to avoid a fine → Petty theft
- Embezzlement → Grand theft

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Flashcards

Transparency International CPI 2025: Global Average Drops for First Time in a Decade

The global CPI average fell to 42/100, first decline in over a decade. Countries scoring above 80 shrank from 12 to just 5. Even established democracies declined: United States (64), Canada (75) and New Zealand (81), to various parts of Europe, like the United Kingdom (70), France (66) and Sweden (80)

Source: [Transparency International \(February 2026\)](#)

Question: “If you’re advising an MNC, how much weight should you place on CPI? What are its blind spots?”

ANALYSIS

North, Institutional Degradation:

Institutional quality is not guaranteed to improve monotonically. The CPI decline shows even “inclusive” countries can regress.

CIA Challenge: If all countries decline, relative CIA comparison may mask absolute deterioration. The framework works for comparison, not absolute measurement.

Ang’s Typology, CPI Blind Spot: CPI measures *perception*, not actual corruption, and conflates all types of corruptive practices.

Corruption in International Business

Caselets of Corruption

(From Kennedy, R. E. & DiTella, Rafael. 2001.
Corruption in international business (A))

Caselet 01

-- Control Risks, a London business risk consultant, reports that each McDonald's 38 outlets in Syldávia City was subject to 31 miscellaneous “fees” for purposes as unlikely as river dragging, flower displays on public holidays, and the president’s spiritual well-being program. The Syldávia City Council had not passed legislation specifically about authorizing the fees, but the city bureaucrats appeared to be within their discretion to impose the fees.

Should McDonald's agree to pay the fees?

Caselet 02

-- Enterprise Investors, a newly established venture capital firm that plans to invest in Bordúria is in the process of establishing its Bordúria City office. If telephones were to be obtained through official channels the wait would be approximately 5 years. If the firm is willing to pay a “hookup fee” of \$1,000 per line, it can obtain service in only a week.

Should enterprise investors pay for the quick installation?

Caselet 03

-- In the mid-1960s Gulf Oil Corporation undertook a US \$200 million direct investment program in the Republic of Khemed. When the program was nearly completed the ruling political party approached Gulf for a US \$1 million contribution to finance its electoral campaign. The request was accompanied by pressure which left little to imagination. The contribution was made, and the incumbent party won the reelection.

When the ruling party geared up for the next general election in 1970, a leader of the incumbent party approached Gulf for another campaign contribution. The party representatives suggested that US \$10 million would be an appropriate contribution.

Should Gulf Oil make the contribution?

Caselet 04

-- Saybolt International was a Netherlands based firm in the petroleum and gasoline testing industry the firm was the leader in the critical San Theodoro market where it confirmed purity and octane levels as ships passed through the San Theodoro's Canal.

David Mead, an American citizen was Saybolt director of Western Hemisphere operation. In January 1995, San Theodoro's government offered the firm a new laboratory space with a 10-year lease in a newly established free trade zone. But the offer came with a condition a US \$50,000 fee for the lease. If the firm pays it is theirs, if not they get nothing.

Mead consulted a lawyer who advised him not to pay. But Mead realized that if the San Theodoro's operation were to be shut down, he might lose his job. The former Saybolt's President, who was based in Netherlands, suggested that the Dutch parent wire the money directly to San Theodoro, thereby avoiding any U.S. connection.

Should Saybolt pay the "finder's fee"?

Key Takeaways

- Should we go abroad? What are some of the uncertainty/risks of going abroad?
CIA (Comparative Institutional Analysis) Framework.
 - Institutions are the “rules of the game,” and they affect economic performance
 - They can be both formal and informal
 - They can be formed top-down or bottom-up
 - They can be extractive or inclusive
 - Comparative Institutional Analysis (CIA) should be performed
 - Cross-country and intertemporally (WGI), validated with qualitative evidence.
- Corruption
 - Different types of corruption with different effects on firms and countries

Next Class

- Where should we go? **CAGE Framework.**
 - *Navigating distances in global markets*

Looking Ahead: Distances

- Quiz opens at **5PM today** and closes in **72 hours**
 - **15 minutes to answer 3 questions** (open book)
 - Once you start the quiz, you can't stop or start over
- **Next Class:**
 - Pankaj Ghemawat (2001) "Distance Still Matters: The Hard Reality of Global Expansion," Harvard Business Review 79(8): 137-147
 - European Super League: "Why the European Super League failed," The Economist, April 24, 2021.
 - Video (watch before class) Deutsche Welle TV on: "Why US sports are more socialist than European football." (DW Channel on Youtube). Click [here](#) to watch
 - Optional movie: "American Factory" (2019, Netflix). Click [here](#) to check.

QUESTIONS

- *Why is CPA (Country Portfolio Analysis) a bad way to evaluate where a business should internationalize?*
- *What are the key features of the CAGE framework?*
- *Using the CAGE framework, explain why the European Super League failed.*



Thank you.

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